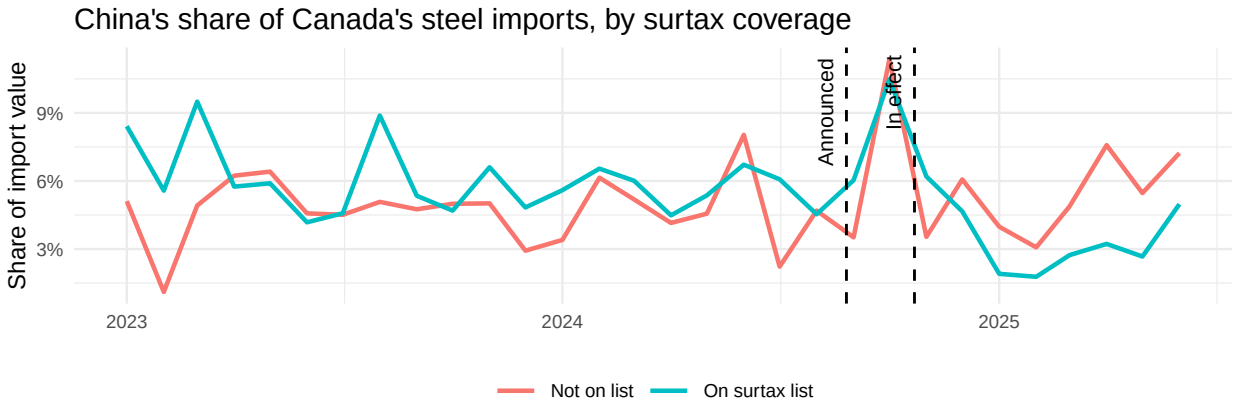
Canada's 2024 Surtax on Chinese Steel: Did Import Sources Shift?

Xiang Zheng, University of Toronto

October 2026

Question. On October 22, 2024, Canada imposed a 25% surtax on listed steel and aluminum products from China. The offshoring model predicts that raising the trade cost of one supplier shifts sourcing to others. Did China's share of Canada's steel imports fall, and was the fall caused by the surtax rather than by seasonality, prices, trends or the 2025 U.S.-Canada tariff dispute?

Data and method. I used monthly Statistics Canada import data for 167 six-digit steel products (HS chapter 72), January 2023 to August 2026. I matched products to the Department of Finance's surtax list: 130 products are on the list and 37 are not. The main design is a **difference-in-differences** comparison. It compares China's share of listed products with its share of unlisted products, before and after the surtax, with month fixed effects. Supporting checks compare the same winter months one year apart, repeat the comparison in tonnes to rule out price effects, and estimate a time-series regression with and without a linear trend, with a bootstrap confidence interval.



Findings.

- **China's share fell.** China's share of Canada's steel imports fell from 5.9% before the surtax to 3.7% in the four months after it took effect. The decline was not seasonal and also appears in tonnes.
- **The fall was mainly in listed products.** Before August 2024 the two groups moved roughly in parallel. After the surtax, China's share of listed products fell to about 2-3%, while its share of unlisted products returned to its earlier range.
- **Estimated effect: about 2 percentage points.** In the main window, which ends before the U.S.-Canada tariff dispute, the estimate is -1.9 points (95% CI -4.1 to 0.3, $p = 0.086$). A longer window through June 2025 gives -3.1 points ($p < 0.001$), but it overlaps with the tariff dispute.
- **Diversion is unclear.** Japan's and South Korea's shares rose after the surtax, but both were already rising beforehand.

Main limitation. Only four months separate the surtax from the 2025 tariff dispute. The cleanest estimate is therefore imprecise and not significant at the 5% level. The China-only time-series estimate also shrinks to about -1.1 points once a linear trend is added. Separating the surtax from overlapping trends and policies was the hardest part of the analysis.

Full report and R code: https://github.com/betterandy24/canada-steel-surtax